

Diploma in Leadership & Management

Scanning the environment



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Lesson outcomes

The student will be able to understand the fundamentals of scanning the environment. Students will also be exposed to Porter's 5 forces and the PESTEL analysis. Students will see practical elements and examples for both models.

Introduction

“Every organisation has an internal and external environment. In order for the organisation to be successful, it is important that it scans its environment regularly to assess its developments and understand factors that can contribute to its success. Environmental scanning is a process used by organizations to monitor their external and internal environments.” (Toppr, n.d.)

Key reading materials:

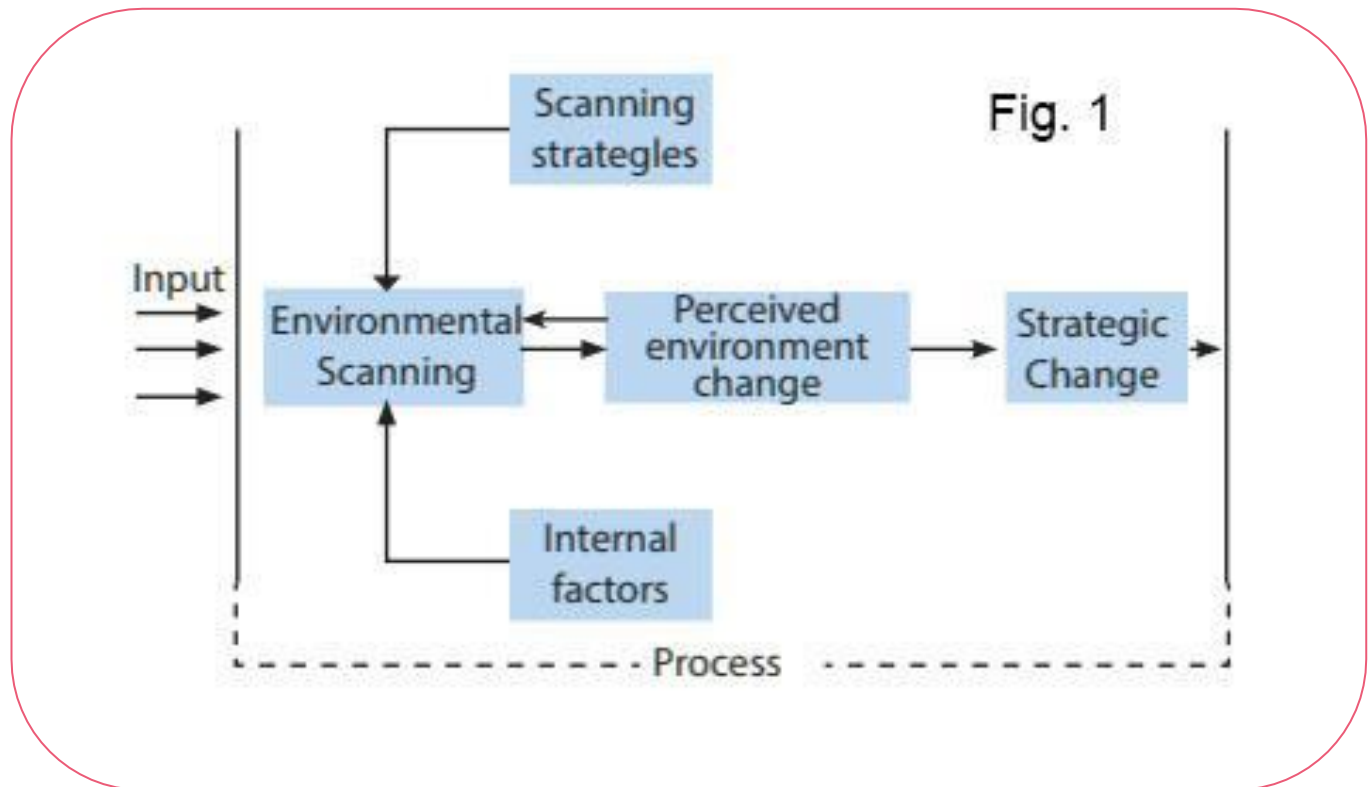
- <https://strategicmanagementinsight.com/tools/porters-five-forces.html>
- <https://pestleanalysis.com/what-is-pestle-analysis/>
- <https://www.shrm.org/resourcesandtools/tools-and-samples/hr-qa/pages/basics-of-environmental-scanning.aspx>
- <https://www.managementstudyguide.com/environmental-scanning.htm>

Environment scanning:



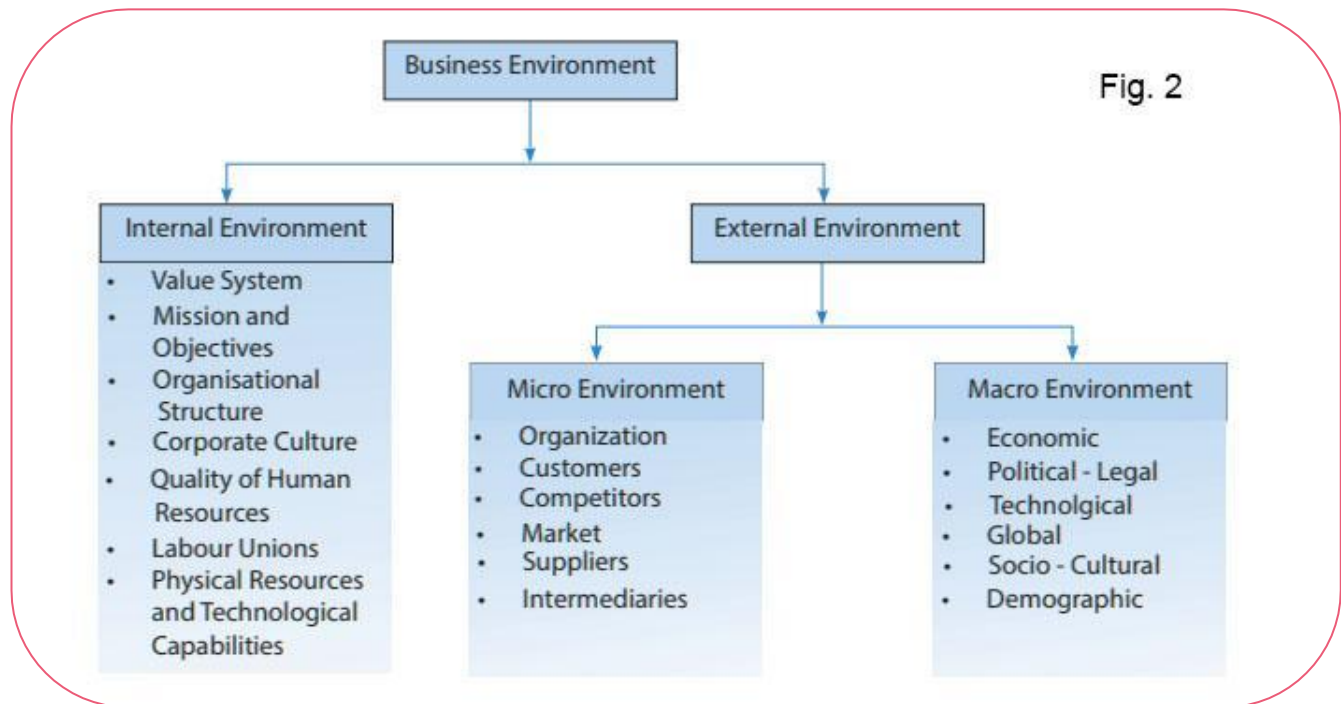
This break-down is provided by (Toppr, n.d.).

The purpose of the scan is the identification of opportunities and threats affecting the business for making strategic business decisions. As a part of the environmental scanning process, the organisation collects information regarding its environment and analyses it to forecast the impact of changes in the environment. This eventually helps the management team to make informed decisions.



As seen from the figure above, environmental scanning should primarily identify opportunities and threats in the organisation's environment. Once these are identified, the organisation can create a strategy that helps in maximizing the opportunities and minimizing the threats. Before looking at the important factors for environmental scanning, let's take a quick peek at the components of an organisation's environment.

Components of a Business Environment



As you can see above, the internal environment of an organisation consists of various elements like the value system, mission/objectives of the organisation, structure, culture, quality of employees, labor unions, technological capabilities, etc. These elements lie within the organisation and any changes to them can affect the overall success of the business. On the other hand, an organisation cannot operate in a vacuum. Also, there are many factors outside the walls of an organization which affects the functions of the business. These factors constitute the external environment of an organisation.

The internal environment offers strengths and weaknesses to business while the external environment brings opportunities and threats. The four influencing environmental factors known as SWOT Analysis are:

1. Strength – an inherent capacity of an organisation which helps it gain a strategic advantage over its competitors.
2. Weakness – an inherent constraint or limitation which creates a strategic disadvantage for a business.
3. Opportunity – a favorable condition in the organisation's environment enabling it to strengthen its position.
4. Threat – an unfavorable condition in the organisation's environment causing damage to the organization.
- 5.

Important Factors for Environmental Scanning

Before scanning the environment, an organisation must take the following actors into consideration:

- Events – These are specific occurrences which take place in different environmental sectors of business. These are important for the functioning and/or success of the business. Events can occur either in the internal or the external environment. Organisations can observe and track them.
- Trends – As the name suggests, trends are general courses of action or tendencies along which the events occur. They are groups of similar or related events that tend to move in a specific direction. Further, trends can be positive or negative. By observing trends, an organization can identify any change in the strength or frequency of the events suggesting a change in the respective area.
- Issues – In the wake of the events and trends, some concerns can arise. These are Issues. Organisations try to identify emerging issues so that they can take corrective measures to nip them in the bud. However, identifying emerging issues is a difficult task. Usually, emerging issues start with a shift in values or change in which the concern is viewed.

- Expectations – Some interested groups have demands based on their concern for issues. These demands are Expectations.



(Wright, n.d.) provides the following explanations

Porter's 5 Forces is an analytical model that helps marketers and business managers look at the 'balance of power' in a market between different organisations on a global level, and to analyse the attractiveness and potential profitability of an industry sector.

- Competitive rivalry
 - The threat of substitute products
 - Bargaining power of buyers
 - The threat of new entrants
 - Bargaining power of suppliers
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How do the 5 Forces work?

Competitive rivalry

The first aspect to analyse is the amount of competition your company faces. Think both on a macro and micro scale about the number of direct competitors you have in your industry and the products/services they offer in comparison to yours.

Markets with few competitors are attractive but can be short-lived. On the other hand, highly-competitive markets with many companies chasing the same work reduce your power and can push you to lower your prices and innovate new products.

Things to consider in a recession:

- What's the level of competition in your company's sector?
- Who are your large, direct competitors? What advantages do they leverage over you?
- Who are your smaller, independent competitors? What do they do to stay competitive?

Threat of substitute products

This refers to the possibility that customers will find a different (read: quicker and easier) way of doing what your company does. You may have originally conceived products or services that help customers, but as technology changes over time, so do the desires and problems of customers.

Always examine how your customer's lives have changed as your company has grown. For example, you may sell a piece of software that automates a process or synchronizes activity into one platform. As user behaviour changes, you can find opportunities to update your product, or even grow a new service offering.

Things to consider in a recession:

- How easy is it to find an alternative to your products or services?
- What aspects of your products/services can your customers do manually?
- How do cheaper substitutes measure up against your company for ROI?

Bargaining power of buyers

Ask yourself how much power do your buyers have over you. If you're selling a product, their power is likely contained to order amounts or customisation needs. However, if you're offering a service, customers are more open to negotiation. Remember that customers are extremely price-savvy and may already have experience of dealing with your competitors. Determining your relationship with buyer power is all about how flexible you can be on service while maintaining an authoritative position in your market.

Things to consider in a recession:

- How powerful are your buyers?
- How many are there? What different kinds of buyers do you interact with?
- Can the buyers get costs down?
- Do they have the power to dictate terms?

Threat of new entrants

Industries that are tightly regulated and require large investments of capital mean that companies who make it can gain a serious foothold in a market. Alternatively, markets that you can get set up in quickly and with little financial risk mean you can start building customers faster, though there may be a proliferation of copycat companies and similar products. The threat of new entry is based on how secure your company is from being surrounded by competitors. Let's say you've discovered a way to cut costs in the IT industry - you need to protect your company from imitators and rival companies who can drive down your prices.

Things to consider in a recession:

- What's the threat of new businesses starting in this sector?
 - How easy is it to start up in this business?
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- What are the rules and regulations?
- What finance would a start-up need?
- Are there barriers to entry which give you greater power?

Bargaining power of suppliers

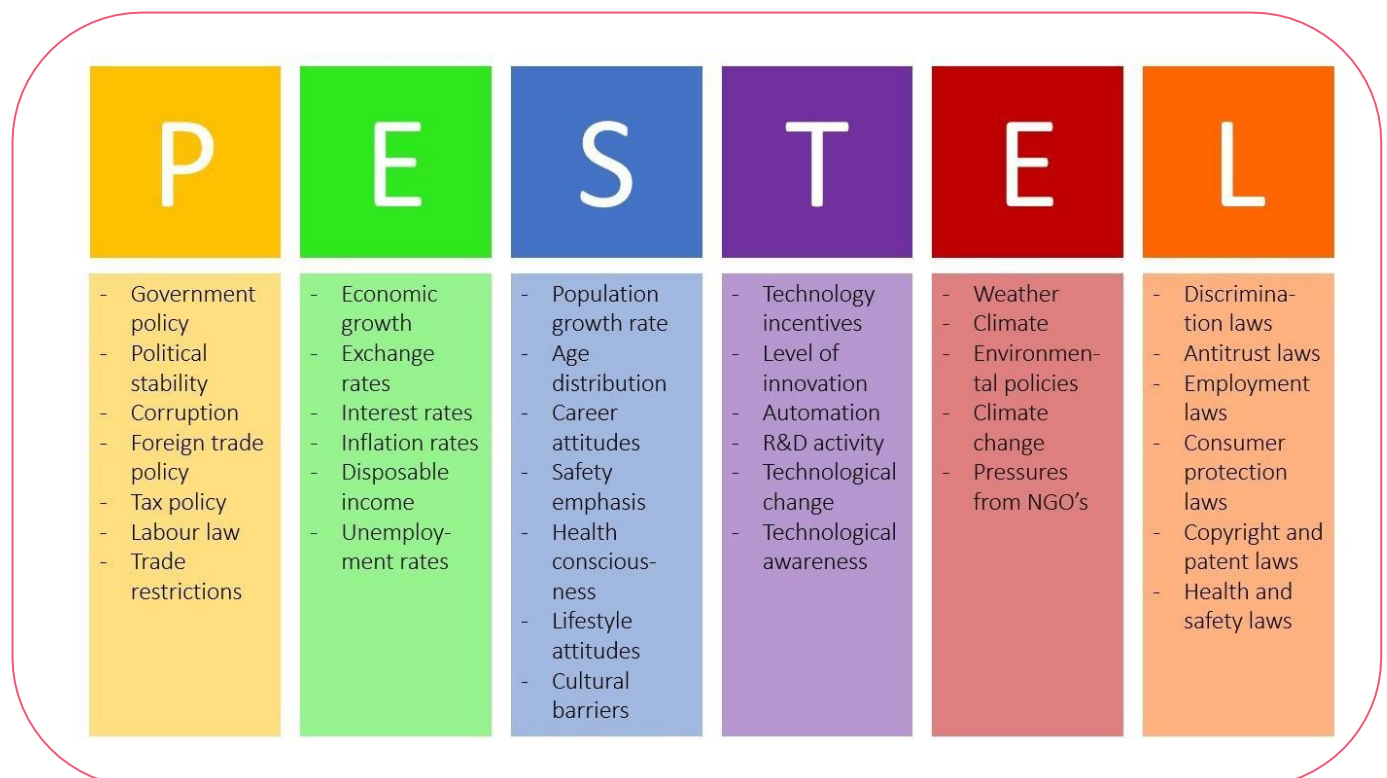
When it comes to brass tax, you need to focus as much on your costs as you do on your revenue. Assess the suppliers you rely on and the potential power they have over the products/services you provide.

The greater the number of suppliers available to you, the easier it is to switch to a cheaper alternative. If there are few suppliers you can work with, such as when you sell products made with highly-specific materials, the greater the control they have over your company. A rise in their prices has an immediate effect on your bottom line.

Things to consider in a recession:

- How many suppliers are in the market?
- Are there many options (which can lower prices) or just a few (which can raise them)?
- How easy is it to switch, what's the cost?
- How would changing suppliers affect your products/services?

Full list of PESTEL factors:



(Business to you, n.d.) provides the full list of factors that form part of the PESTEL analysis.

Political factors

- Government stability/instability
- Corruption level
- Tax policies
- Freedom of press
- Government regulation and deregulation
- Special tariffs
- Political action committees
- Government involvement in trade unions and agreements
- Competition regulation

- Voter participation rates
- Amount of government protests
- Defense expenditures
- Level of government subsidies
- Bilateral relationships
- Import-export regulation/restrictions
- Trade control
- Lobbying activities
- Size of government budgets

Economic factors

- Growth rate
- Interest rate
- Inflation rate
- Exchange rate
- Availability of credit
- Level of disposable income
- The propensity of people to spend
- Federal government budget deficits
- Gross domestic product trend
- Unemployment trend
- Stock market trends
- Price fluctuations

Social factors

- Population size and growth rate
 - Birth rates
 - Death rates
 - Number of marriages
 - Number of divorces
 - Immigration and emigration rates
 - Life expectancy rates
 - Age distribution
 - Wealth distribution
 - Social classes
 - Per capita income
 - Family size and structure
 - Lifestyles
 - Health consciousness
 - Average disposable income
 - Attitude towards government
 - Attitude towards work
 - Buying habits
 - Ethical concerns
 - Cultural norms and values
 - Sex roles and distribution
 - Religion and beliefs
 - Racial equality
 - Use of birth control
 - Education level
 - Minorities
 - Crime levels
 - Attitudes towards saving
 - Attitude towards investing
 - Attitudes towards retirement
 - Attitudes towards leisure time
 - Attitudes towards product quality
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- Attitudes towards customer service
- Attitudes towards foreign people

Technological factors

- Technology incentives
- Automation
- R&D activity
- Technological change
- Access to new technology
- Level of innovation
- Technological awareness
- Internet infrastructure
- Communication infrastructure
- The life cycle of technology

Environmental factors

- Weather
- Climate
- Environmental policies
- Climate change
- Pressures from NGO's
- Natural disasters
- Air and water pollution
- Recycling standards
- Attitudes towards green products
- Support for renewable energy

Legal factors

- Discrimination laws
- Antitrust laws
- Employment laws
- Consumer protection laws
- Copyright and patent laws
- Health and safety laws
- Education laws
- Consumer protection laws
- Data protection laws

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